Calder Works Lofts - Investor Presentation v4

- June 3, 2024
- Revised per investor comments
- Prepared by Halvorsen Urban Partners LLC

Lynchburg at a glance

- Growing regional economy anchored by healthcare and higher education
- Downtown residential occupancy above 94%
- Limited new supply in the Lower Basin

The Calder Shoe Company works

- Landmark 1920s industrial complex on Commerce Street
- Steel sash windows, concrete frame, terra cotta detailing
- Walkable to downtown employers and riverfront trail

Project overview

- 128 apartments across three certified historic buildings (Buildings A, B and C)
- 1200 Commerce Street, Lynchburg, VA 24504
- Light court retained per NPS

Sponsor track record

- Halvorsen Urban Partners LLC: 11 historic rehabs completed since 2012
- Over 900 units delivered
- Repeat partner of regional banks and tax credit investors

Design approach

- Loft-style units with exposed concrete and original windows
- Amenity space in the former shipping hall
- Best-in-class finishes at workforce-friendly rents

Credit basis (revised)

- Qualified rehabilitation expenditures (revised): $36.45M
- Excludes Building C and the parking deck

Structure

- Federal HTC investor admitted to Calder Works Owner LLC
- Sponsor retains managing member role

Market positioning

- Rents positioned 5-8% above garden-style competitors
- Premium supported by historic character and location
- Strong pre-leasing interest list

Risk mitigants

- Experienced GC with fixed GMP
- Completion and recapture guaranties from sponsor
- Conservative underwriting of lease-up

Next steps

- Finalize investor documents
- Close construction financing
- Commence construction

Federal credit monetization

- Federal HTC monetization: transfer under IRC Section 6418 to a corporate buyer
- Pricing indications in the high-80s to low-90s

Virginia credit

- Virginia HTC sold at $0.84 per credit
- Purchaser identified; agreement in negotiation

Approvals

- NPS Part 1 approved June 2023
- NPS Part 2 approved August 2023 - no conditions

Sources and uses

Item	Amount
Construction loan	$26,000,000
Federal HTC equity	$7,243,600
Virginia HTC proceeds	$8,358,000
Developer fee	$5,400,000
Total development cost	$49,800,000
Qualified rehabilitation expenditures	$39,800,000
Federal credit	$7,960,000

Figures per Model v6

Lynchburg at a glance

- Growing regional economy anchored by healthcare and higher education
- Downtown residential occupancy above 94%
- Limited new supply in the Lower Basin

The Calder Shoe Company works

- Landmark 1920s industrial complex on Commerce Street
- Steel sash windows, concrete frame, terra cotta detailing
- Walkable to downtown employers and riverfront trail

Unit mix

- Unit mix: 134 units
- Studios 22% | One-bedroom 58% | Two-bedroom 20%

Sponsor track record

- Halvorsen Urban Partners LLC: 11 historic rehabs completed since 2012
- Over 900 units delivered
- Repeat partner of regional banks and tax credit investors

Timeline

- Construction start: September 2023
- All buildings placed in service Q4 2025
- Stabilization: 2026

Design approach

- Loft-style units with exposed concrete and original windows
- Amenity space in the former shipping hall
- Best-in-class finishes at workforce-friendly rents

Market positioning

- Rents positioned 5-8% above garden-style competitors
- Premium supported by historic character and location
- Strong pre-leasing interest list

Risk mitigants

- Experienced GC with fixed GMP
- Completion and recapture guaranties from sponsor
- Conservative underwriting of lease-up

Next steps

- Finalize investor documents
- Close construction financing
- Commence construction

Lynchburg at a glance

- Growing regional economy anchored by healthcare and higher education
- Downtown residential occupancy above 94%
- Limited new supply in the Lower Basin

The Calder Shoe Company works

- Landmark 1920s industrial complex on Commerce Street
- Steel sash windows, concrete frame, terra cotta detailing
- Walkable to downtown employers and riverfront trail